

Agenda Item

4–E

Comparison of the Engagement Quality Review Requirements in Extant ISQC 1¹ and ISA 220 to Proposed ISQM 1² and Proposed ISQM 2³

Objective of this Agenda Item

The objective of this Agenda Item is to compare the requirements addressing engagement quality reviews in extant ISQC 1 and ISA 220 to proposed ISQM 2, as set out in **Agenda Item 4–A** and proposed ISQM 1, as set out in **Agenda Item 4–C**. The table below provides a cross reference to the paragraph in the relevant proposed standard addressing engagement quality reviews that reflects the principles of the extant requirement.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
ISQC 1	
Definitions 12. In this ISQC, the following terms have the meanings attributed below: ... (d) Engagement quality control review – A process designed to provide an objective evaluation, on or before the date of the report, of the significant judgments the engagement team made and the conclusions it reached in formulating the report. The engagement quality control review process is for audits of financial statements of listed entities, and those	<u>ISQM 2</u> Definitions 11. In this ISQM, the following terms have the meanings attributed below: (a) Engagement quality review – An objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon that is completed on or before the date of the engagement report.

¹ International Standard on Quality Control (ISQC) 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements, and Other Assurance Engagements and Related Services Engagements*

² Proposed International Standard on Quality Management (ISQM) 1 (Revised), *Quality Control for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance Engagements or Related Services Engagements*

³ Proposed ISQM 2, *Engagement Quality Reviews*

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
other engagements, if any, for which the firm has determined an engagement quality control review is required. (e) Engagement quality control reviewer – A partner, other person in the firm, suitably qualified external person, or a team made up of such individuals, none of whom is part of the engagement team, with sufficient and appropriate experience and authority to objectively evaluate the significant judgments the engagement team made and the conclusions it reached in formulating the report. (q) Relevant ethical requirements – Ethical requirements to which the engagement team and engagement quality control reviewer are subject, which ordinarily comprise Parts A and B of the International Ethics Standards Board for Accountants' <i>Code of Ethics for Professional Accountants</i> (IESBA Code) together with national requirements that are more restrictive.	(b) Engagement quality reviewer – A suitably qualified partner or other individual appointed by the firm to be responsible for the performance of the engagement quality review. (Ref: Para. A1) (c) Relevant ethical requirements – Principles of professional ethics and ethical requirements that are applicable to a professional accountant when undertaking an engagement quality review. Relevant ethical requirements ordinarily comprise the provisions of the International Ethics Standards Board for Accountants' <i>International Code of Ethics for Professional Accountants (Including International Independence Standards)</i> (IESBA Code) related to audits or reviews of financial statements, or other assurance or related services engagements, together with national requirements that are more restrictive.
Requirements	Requirements
Relevant Ethical Requirements 25. The firm shall establish policies and procedures: ... (b) Requiring, for audits of financial statements of listed entities, the rotation of the engagement partner and the individuals responsible for engagement quality control review, and, where applicable, others subject to rotation requirements, after a specified period in compliance with relevant ethical requirements. (Ref: Para. A12–A17)	<u>ISQM 2</u> Appointment and Eligibility of Engagement Quality Reviewers 15. The firm shall establish policies or procedures regarding the appointment of engagement quality reviewers that address: ... (c) Limitations on the eligibility of an individual to be appointed as engagement quality reviewer for an engagement on which the individual previously served as engagement partner; and (Ref: Para. A5–A6)

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Engagement Performance <i>Engagement Quality Control Review</i> 35. The firm shall establish policies and procedures requiring, for appropriate engagements, an engagement quality control review that provides an objective evaluation of the significant judgments made by the engagement team and the conclusions reached in formulating the report. Such policies and procedures shall: (a) Require an engagement quality control review for all audits of financial statements of listed entities; (b) Set out criteria against which all other audits and reviews of historical financial information and other assurance and related services engagements shall be evaluated to determine whether an engagement quality control review should be performed; and (Ref: Para. A41) (c) Require an engagement quality control review for all engagements, if any, meeting the criteria established in compliance with subparagraph 35(b). 36. The firm shall establish policies and procedures setting out the nature, timing and extent of an engagement quality control review. Such policies and procedures shall require that the engagement report not be dated until the completion of the engagement quality control review. (Ref: Para. A42–A43) 37. The firm shall establish policies and procedures to require the engagement quality control review to include: (a) Discussion of significant matters with the engagement partner; (b) Review of the financial statements or other subject matter information and the proposed report;	<u>ISQM 1</u> Engagement Performance 40. In designing and implementing responses to address the quality risks identified by the firm relating to the engagement performance quality objectives, the firm shall include the following responses: ... (e) Establishing policies or procedures addressing engagement quality reviews in accordance with ISQM 2, and that require an engagement quality review for: (Ref: Para. A102–A109) (i) Audits of financial statements of listed entities; (ii) Audits of financial statements of entities that the firm determines are of significant public interest; and (iii) Audits or other engagements for which: a. An engagement quality review is required by law or regulation; or b. The firm determines that an engagement quality review is an appropriate response to assessed quality risks, based on the reasons for the assessments given to the quality risks. Performance of the Engagement Quality Review 19. The firm shall establish policies or procedures regarding the performance of the engagement quality review that address: (a) The engagement quality reviewer's responsibilities to perform procedures in accordance with paragraphs 20–21 at appropriate points in time during the engagement to provide an appropriate basis for an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon; (Ref: Para. A22) (b) The responsibilities of the engagement partner in relation to the engagement quality review, including prohibiting the

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
(c) Review of selected engagement documentation relating to significant judgments the engagement team made and the conclusions it reached; and (d) Evaluation of the conclusions reached in formulating the report and consideration of whether the proposed report is appropriate. (Ref: Para. A44) 38. For audits of financial statements of listed entities, the firm shall establish policies and procedures to require the engagement quality control review to also include consideration of the following: (a) The engagement team's evaluation of the firm's independence in relation to the specific engagement; (b) Whether appropriate consultation has taken place on matters involving differences of opinion or other difficult or contentious matters, and the conclusions arising from those consultations; and (c) Whether documentation selected for review reflects the work performed in relation to the significant judgments and supports the conclusions reached. (Ref: Para. A45–A46)	engagement partner from dating the engagement report until the completion of the review; and (Ref: Para. A23) (c) Circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer. (Ref: Para. A24)

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Criteria for the Eligibility of Engagement Quality Control Reviewers 39. The firm shall establish policies and procedures to address the appointment of engagement quality control reviewers and establish their eligibility through: (a) The technical qualifications required to perform the role, including the necessary experience and authority; and (Ref: Para. A47) (b) The degree to which an engagement quality control reviewer can be consulted on the engagement without compromising the reviewer's objectivity. (Ref: Para. A48) 40. The firm shall establish policies and procedures designed to maintain the objectivity of the engagement quality control reviewer. (Ref: Para. A49–A51) 41. The firm's policies and procedures shall provide for the replacement of the engagement quality control reviewer where the reviewer's ability to perform an objective review may be impaired.	<u>ISQM 2</u> Appointment and Eligibility of Engagement Quality Reviewers 15. The firm shall establish policies or procedures regarding the appointment of engagement quality reviewers that address: (a) The assignment of responsibility for the appointment of engagement quality reviewers to an individual with the competence, capabilities, and the appropriate authority within the firm needed to assume the responsibility; (Ref: Para. A2–A3) (b) The criteria for eligibility to be appointed as an engagement quality reviewer and, when applicable, individuals who assist the engagement quality reviewer, in accordance with paragraphs 16 and 17, respectively; (Ref: Para. A4) (c) Limitations on the eligibility of an individual to be appointed as engagement quality reviewer for an engagement on which the individual previously served as engagement partner; and (Ref: Para. A5–A6) (d) Circumstances in which the engagement quality reviewer's ability to perform the engagement quality review would be deemed to be impaired, including when notified by the engagement quality reviewer in accordance with paragraph 18, and the process for identifying a replacement in such circumstances.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	16. The engagement quality reviewer shall: (a) Not be a member of the engagement team; (b) Be a partner or other individual with the competence and capabilities, including sufficient time, and the appropriate authority to evaluate the significant judgments made by the engagement team and the conclusions reached thereon; and (Ref: Para. A7–A13) (c) Comply with: (i) Relevant ethical requirements, including that threats to objectivity of the engagement quality reviewer related to the engagement or the engagement team do not exist, or have been reduced to an acceptable level; (Ref: Para. A14–A17) (ii) Requirements established by the firm regarding limitations on the eligibility to be appointed as the engagement quality reviewer for the engagement as described in paragraph 15(c); and (iii) When applicable, requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. A18) 17. Individuals who assist the engagement quality reviewer shall: (Ref: Para. A19–A20) (a) Not be members of the engagement team; (b) Have the competence and capabilities, including sufficient time, to perform the duties assigned to them; and (c) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Documentation of the Engagement Quality Control Review 42. The firm shall establish policies and procedures on documentation of the engagement quality control review which require documentation that: (a) The procedures required by the firm's policies on engagement quality control review have been performed; (b) The engagement quality control review has been completed on or before the date of the report; and (c) The reviewer is not aware of any unresolved matters that would cause the reviewer to believe that the significant judgments the engagement team made and the conclusions it reached were not appropriate.	18. When the engagement quality reviewer is, or becomes, aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall notify the appropriate individual(s) in the firm so that the firm can appoint another individual who meets the eligibility requirements, and: (Ref: Para. A21) (a) If the engagement quality review has not commenced, decline the appointment to perform the engagement quality review; or (b) If the engagement quality review has commenced, discontinue the performance of the engagement quality review. See Documentation under ISA 220 below

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Differences of Opinion 43. The firm shall establish policies and procedures for dealing with and resolving differences of opinion within the engagement team, with those consulted and, where applicable, between the engagement partner and the engagement quality control reviewer. (Ref: Para. A52–A53) 44. Such policies and procedures shall require that: (a) Conclusions reached be documented and implemented; and (b) The report not be dated until the matter is resolved. Monitoring Monitoring the firm's quality control policies and procedures 48. The firm shall establish a monitoring process designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, and operating effectively. This process shall: ... (c) Require that those performing the engagement or the engagement quality control review are not involved in inspecting the engagement. (Ref: Para. A64–A68)	See paragraphs A20 (e), A11 and A32 in this document and paragraph 40(d) of proposed ISQM 1 (Agenda Item 2-A)

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Application and Other Explanatory Material	Application and Other Explanatory Material
	<u>ISQM 2</u> Definitions (Ref: Para. 11(b)) A1. A partner or other individual is suitably qualified when that individual fulfills the eligibility criteria in paragraph 16. Appointment and Eligibility of Engagement Quality Reviewers <i>Assignment of Responsibility for the Appointment of Engagement Quality Reviewers</i> (Ref: Para. 15(a)) A2. Competence and capabilities that enable an individual to assume responsibility for the appointment of the engagement quality reviewer may include appropriate knowledge about: • The responsibilities of an engagement quality reviewer; • The criteria in paragraph 16 regarding the eligibility of engagement quality reviewers, including those regarding the competence and capabilities, including sufficient time, and the appropriate authority and objectivity of the engagement quality reviewer; and • The nature and circumstances of the engagement subject to engagement quality review (e.g., the nature of the entity and the composition of the engagement team). A3. In exceptional circumstances, it may not be practicable for an individual other than a member of the engagement team to appoint the engagement quality reviewer, for example, in the case of a smaller firm or a sole practitioner. In these circumstances, a threat to the objectivity of the individual responsible for the appointment of the engagement quality reviewer may arise. <i>Eligibility of the Engagement Quality Reviewer</i> (Ref: Para. 15(b)) A4. In some circumstances, there may not be an individual within the firm who is eligible to perform the engagement quality review and

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	the firm may therefore contract with, or obtain the services of, external individuals to perform the engagement quality review. A suitably qualified external individual may be a partner or an employee of: • A firm within the firm's network, which is subject to the requirements for network requirements or network services in paragraphs 59–64 of proposed ISQM 1; or • A service provider, which is subject to the requirements for service providers in paragraphs 65–66 of proposed ISQM 1. When an external individual is to be appointed to perform the engagement quality review, making relevant inquiries about the individual before making the appointment may assist the firm in obtaining the necessary information about whether the individual meets the eligibility requirements to be an engagement quality reviewer.
Relevant Ethical Requirements <i>Compliance with Relevant Ethical Requirements</i> (Ref: Para. 20) Familiarity Threat (Ref: Para. 25) A12. The IESBA Code discusses the familiarity threat that may be created by using the same senior personnel on an assurance engagement over a long period of time and the safeguards that might be appropriate to address such threats. A13. Determining appropriate criteria to address familiarity threat may include matters such as: • The nature of the engagement, including the extent to which it involves a matter of public interest; and • The length of service of the senior personnel on the engagement. Examples of safeguards include rotating the senior personnel or requiring an engagement quality control review.	<i>Limitations on the Eligibility of Individuals to be Appointed as Engagement Quality Reviewers</i> (Ref: Para. 15(c)) A5. Relevant ethical requirements or law or regulation may establish requirements for a cooling-off period during which individuals are prohibited from serving as the engagement quality reviewer for engagements for which they previously served in another role(s). For example, the IESBA Code contains prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years, with a minimum cooling-off period of two years: • The engagement partner; • The individual appointed as the engagement quality reviewer; or • Any key audit partner role.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
A14. The IESBA Code recognizes that the familiarity threat is particularly relevant in the context of financial statement audits of listed entities. For these audits, the IESBA Code requires the rotation of the key audit partner⁴ after a pre-defined period, normally no more than seven years, and provides related standards and guidance. National requirements may establish shorter rotation periods. Considerations specific to public sector audit organizations A15. Statutory measures may provide safeguards for the independence of public sector auditors. However, threats to independence may still exist regardless of any statutory measures designed to protect it. Therefore, in establishing the policies and procedures required by paragraphs 20–25, the public sector auditor may have regard to the public sector mandate and address any threats to independence in that context. A16. Listed entities as referred to in paragraphs 25 and A14 are not common in the public sector. However, there may be other public sector entities that are significant due to size, complexity or public interest aspects, and which consequently have a wide range of stakeholders. Therefore, there may be instances when a firm determines, based on its quality control policies and procedures, that a public sector entity is significant for the purposes of expanded quality control procedures. A17. In the public sector, legislation may establish the appointments and terms of office of the auditor with engagement partner responsibility. As a result, it may not be possible to comply strictly with the engagement partner rotation requirements envisaged for listed entities. Nonetheless, for public sector entities considered significant, as noted in paragraph A16, it may be in the public interest for public sector audit organizations to establish policies	A6. An individual who has served as the engagement partner is not likely to be able to perform the role of the engagement quality reviewer immediately after ceasing to be the engagement partner because it is not likely that the threats to the individual's objectivity with regard to the engagement and the engagement team can be reduced to an acceptable level. In recurring engagements, the matters on which significant judgments are made and the facts and circumstances around those significant judgments are not likely to vary to a degree such that an objective evaluation of those judgments can be made by the individual who served as the engagement partner in the immediate previous period. Accordingly, this ISQM requires the firm to establish policies or procedures that limit the eligibility of individuals as engagement quality reviewers who previously served as engagement partner, for example, by establishing a specified cooling-off period during which the engagement partner is precluded from being appointed as the engagement quality reviewer. Determining a suitable cooling-off period depends upon the facts and circumstances of the engagement. In the case of an audit of financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted. Public Sector Considerations A13. In the public sector, an auditor (for example, an Auditor General, or other suitably qualified individual appointed on behalf of the Auditor General) may act in a role equivalent to that of the engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for

⁴ As defined in the IESBA Code [Footnote 4 in extant ISQC 1]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
and procedures to promote compliance with the spirit of rotation of engagement partner responsibility.	independence and the ability of the engagement quality reviewer to provide an objective evaluation. <i>Relevant Ethical Requirements</i> (Ref: Para. 16(c)(i)) A14. The relevant ethical requirements that are applicable when undertaking an engagement quality review may vary, depending on the nature and circumstances of engagements subject to an engagement quality review. Various provisions of the relevant ethical requirements may apply only to individual professional accountants, such as an engagement quality reviewer, and not the firm. For example, Part 2 of the IESBA Code applies to individuals who are professional accountants in public practice when performing professional activities pursuant to their relationship with the firm. A15. Relevant ethical requirements may contain provisions addressing the long association of the engagement quality reviewer with the engagement. For example, the IESBA Code addresses threats that may arise from long association in the role of engagement quality reviewer in audits of financial statements of public interest entities in the context of: • The audit client and its operations; • The audit client's senior management; or • The financial statements on which the firm will express an opinion or the financial information which forms the basis of the financial statements. Threats to the Objectivity of the Engagement Quality Reviewer A16. Threats to the engagement quality reviewer's objectivity may arise in the following circumstances: • A familiarity, self-review or self-interest threat may arise when the engagement quality reviewer was recently consulted on matters of significant complexity or judgment in the engagement.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	• A familiarity or self-interest threat may arise when the engagement quality reviewer is a close or immediate family member of the engagement partner or another member of the engagement team, or through close personal relationships with members of the engagement team. • An intimidation threat (either implicit or explicit) may arise when pressure is exerted on the engagement quality reviewer (e.g., when the engagement partner is an aggressive or dominant individual, or the engagement quality reviewer has a reporting line to the engagement partner). • A self-review or self-interest threat may arise when the engagement quality reviewer was recently a member of the engagement team. A17. Relevant ethical requirements may identify actions individuals are required to take, or consider taking, to address threats to objectivity. For example, the IESBA Code provides requirements and guidance for identifying, evaluating and addressing intimidation threats in certain circumstances. <i>Law or Regulation Relevant to Eligibility of the Engagement Quality Reviewer (Ref: Para. 16(c)(iii))</i> A18. Law or regulation may prescribe additional requirements regarding the eligibility of the engagement quality reviewer. For example, in some jurisdictions, the engagement quality reviewer may need to possess certain qualifications or be licensed to be able to perform the review. <i>Circumstances when the Engagement Quality Reviewer is Assisted by Other Individuals (Ref: Para. 17)</i> A19. In certain circumstances, it may be appropriate for the engagement quality reviewer to be assisted by an individual or team of individuals, either internal or external, with the relevant expertise. For example, highly specialized knowledge, skills or expertise may be useful for understanding and evaluating judgments associated

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	with certain transactions undertaken by the entity. Nevertheless, the engagement quality reviewer appointed by the firm remains responsible for the overall performance of the review, including that the work of individuals assisting in the review is appropriate. A20. When the engagement quality reviewer is assisted by an external individual, the assistant's responsibilities, including those related to compliance with relevant ethical requirements, may be set out in the contract or other agreement between the firm and the assistant. <i>Impairment of the Engagement Quality Reviewer's Eligibility</i> (Ref: Para. 18) A21. The engagement quality reviewer's ability to perform the engagement quality review may become impaired, for example, when changes in the engagement circumstances arise during the course of the engagement and as a result, the individual no longer has the competence or capabilities, including sufficient time, to perform the engagement quality review. The firm's policies or procedures that address providing a replacement for the engagement quality reviewer may set out a process by which alternative eligible individuals are identified or the period of time after notification within which the firm is required to appoint a replacement. Such policies or procedures also may address circumstances in which the engagement quality reviewer becomes aware that the eligibility of an individual assisting the reviewer is impaired, for example, when that individual has not complied with relevant ethical requirements.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Engagement Performance <i>Engagement Quality Control Review</i> Criteria for an Engagement Quality Control Review (Ref: Para. 35(b)) A41. Criteria for determining which engagements, other than audits of financial statements of listed entities, are to be subject to an engagement quality control review may include, for example: • The nature of the engagement, including the extent to which it involves a matter of public interest. • The identification of unusual circumstances or risks in an engagement or class of engagements. • Whether laws or regulations require an engagement quality control review. Nature, Timing and Extent of the Engagement Quality Control Review (Ref: Para. 36–37) A42. The engagement report is not dated until the completion of the engagement quality control review. However, documentation of the engagement quality control review may be completed after the date of the report. A43. Conducting the engagement quality control review in a timely manner at appropriate stages during the engagement allows significant matters to be promptly resolved to the engagement quality control reviewer's satisfaction on or before the date of the report. A44. The extent of the engagement quality control review may depend, among other things, on the complexity of the engagement, whether the entity is a listed entity, and the risk that the report might not be appropriate in the circumstances. The performance of an engagement quality control review does not reduce the responsibilities of the engagement partner. Engagement Quality Control Review of a Listed Entity (Ref: Para. 38)	<u>ISQM 1</u> Engagement Performance <i>Engagements Subject to an Engagement Quality Review</i> (Ref: Para. 40(e)) A102. The categories of engagements for which an engagement quality review is required are not mutually exclusive. For example, many listed entities may be considered to be of significant public interest based on the characteristics described in paragraph A103. Similarly, the firm may conclude that an engagement quality review for an entity determined to be of significant public interest is also an appropriate response to an assessed quality risk. In addition, law or regulation may require engagement quality reviews to be performed for certain types of entities (e.g., entities with public accountability as defined in certain jurisdictions), or may include different criteria or characteristics that firms may use in determining whether an entity is of significant public interest. A103. In determining whether an entity is of significant public interest, the firm may take into account, for example, the number and range of stakeholders and the nature and size of the business. The firm also may consider the relative significance of factors such as these in the context of the jurisdiction or region in which the entity operates. Entities that the firm determines to be of significant public interest may include entities such as financial institutions (e.g. certain banks, insurance companies, and pension funds), and other entities such as certain not-for-profit organizations. A104. Law or regulation may require an engagement quality review to be performed, for example, for audit engagements for entities that: • Are characterized as public interest entities; • Operate in the public sector or which are recipients of government funding;

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
A45. Other matters relevant to evaluating the significant judgments made by the engagement team that may be considered in an engagement quality control review of an audit of financial statements of a listed entity include: • Significant risks identified during the engagement and the responses to those risks. • Judgments made, particularly with respect to materiality and significant risks. • The significance and disposition of corrected and uncorrected misstatements identified during the engagement. • The matters to be communicated to management and those charged with governance and, where applicable, other parties such as regulatory bodies. These other matters, depending on the circumstances, may also be applicable for engagement quality control reviews for audits of the financial statements of other entities as well as reviews of financial statements and other assurance and related services engagements. Considerations specific to public sector audit organizations A46. Although not referred to as listed entities, as described in paragraph A16, certain public sector entities may be of sufficient significance to warrant performance of an engagement quality control review. <i>Criteria for the Eligibility of Engagement Quality Control Reviewers</i> Sufficient and Appropriate Technical Expertise, Experience and Authority (Ref: Para. 39(a)) A47. What constitutes sufficient and appropriate technical expertise, experience and authority depends on the circumstances of the engagement. For example, the engagement quality control reviewer for an audit of the financial statements of a listed entity is	• Operate in certain industries (e.g., financial institutions such as banks, insurance companies and pension funds); • Meet an asset threshold determined by law or regulation; or • Are under the management of a court or judicial process (e.g., liquidation). A105. Audits or other engagements for which the firm may determine that an engagement quality review is an appropriate response to assessed quality risks include, for example, engagements: • That involve a high level of complexity or judgment, such as: ○ An audit of financial statements for an entity operating in an industry that typically has accounting estimates with a high degree of estimation uncertainty (e.g., certain large financial institutions or mining entities), or for which uncertainties exist related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. ○ An assurance engagement that involves difficulty by the practitioner in measuring or evaluating the underlying subject matter against the applicable criteria (e.g., a greenhouse gas statement in which there are significant uncertainties associated with the quantities reported therein). • Where issues have been encountered on the engagement, for example, audit engagements with a history of identified misstatements or deficiencies in internal control, recurring internal or external inspection findings, or a material restatement of comparative information in the financial statements. • For entities in emerging industries or that involve emerging technologies, or for which the firm has no previous experience.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
likely to be an individual with sufficient and appropriate experience and authority to act as an audit engagement partner on audits of financial statements of listed entities. Consultation with the Engagement Quality Control Reviewer (Ref: Para. 39(b)) A48. The engagement partner may consult the engagement quality control reviewer during the engagement, for example, to establish that a judgment made by the engagement partner will be acceptable to the engagement quality control reviewer. Such consultation avoids identification of differences of opinion at a late stage of the engagement and need not compromise the engagement quality control reviewer's eligibility to perform the role. Where the nature and extent of the consultations become significant the reviewer's objectivity may be compromised unless care is taken by both the engagement team and the reviewer to maintain the reviewer's objectivity. Where this is not possible, another individual within the firm or a suitably qualified external person may be appointed to take on the role of either the engagement quality control reviewer or the person to be consulted on the engagement. Objectivity of the Engagement Quality Control Reviewer (Ref: Para. 40) A49. The firm is required to establish policies and procedures designed to maintain objectivity of the engagement quality control reviewer. Accordingly, such policies and procedures provide that the engagement quality control reviewer: • Where practicable, is not selected by the engagement partner; • Does not otherwise participate in the engagement during the period of review; • Does not make decisions for the engagement team; and • Is not subject to other considerations that would threaten the reviewer's objectivity.	• For which unusual circumstances are identified during the firm's acceptance and continuance of client relationships and specific engagements (e.g., a new client that had a disagreement with its previous auditor or assurance practitioner). • That involve reporting on financial or non-financial information that is expected to be included in a regulatory filing, or that may involve a higher degree of judgment, such as pro forma financial information to be included in a prospectus. • Engagements with negative findings arising from the firm's monitoring activities or external inspections, or engagements for entities for which concerns were expressed in communications from securities or prudential regulators. A106. In some cases, there may be no engagements for which an engagement quality review is required to be performed, or for which the firm would determine that an engagement quality review is an appropriate response to a quality risk (e.g., when a firm does not perform audits of listed entities or entities of significant public interest and other responses to assessed quality risks are determined by the firm to be appropriate). Considerations Specific to Public Sector Audit Organizations A107. Public sector entities may be of significant public interest due to the range of their stakeholders and the nature of the services they provide. Factors to consider in determining whether a public sector entity is of significant public interest may include whether the entity is a national, regional or local government, or whether an opinion is being expressed on the entire entity or only certain units. A108. Other factors to consider may include whether the entity is a corporation that is state owned or in which the state has a controlling stake or a stake with significant influence. Larger public sector entities may be determined to be of significant public interest

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Considerations specific to smaller firms A50. It may not be practicable, in the case of firms with few partners, for the engagement partner not to be involved in selecting the engagement quality control reviewer. Suitably qualified external persons may be contracted where sole practitioners or small firms identify engagements requiring engagement quality control reviews. Alternatively, some sole practitioners or small firms may wish to use other firms to facilitate engagement quality control reviews. Where the firm contracts suitably qualified external persons, the requirements in paragraphs 39–41 and guidance in paragraphs A47–A48 apply.	due to their social or economic influence on the community or region in which the entity operates. A109. The firm may determine that an engagement quality review is an appropriate response to a quality risk for engagements in the public sector for which law or regulation establishes additional reporting requirements (e.g., a separate report on instances of non-compliance with law or regulation to the legislature or other governing body or communicating such instances in the auditor's report on the financial statements). <u>ISQM 2</u> Appointment and Eligibility of Engagement Quality Reviewers <i>Assignment of Responsibility for the Appointment of Engagement Quality Reviewers</i> (Ref: Para. 15(a)) A2. Competence and capabilities that enable an individual to assume responsibility for the appointment of the engagement quality reviewer may include appropriate knowledge about: • The responsibilities of an engagement quality reviewer; • The criteria in paragraph 16 regarding the eligibility of engagement quality reviewers, including those regarding the competence and capabilities, including sufficient time, and the appropriate authority and objectivity of the engagement quality reviewer; and • The nature and circumstances of the engagement subject to engagement quality review (e.g., the nature of the entity and the composition of the engagement team). A3. In exceptional circumstances, it may not be practicable for an individual other than a member of the engagement team to appoint the engagement quality reviewer, for example, in the case of a smaller firm or a sole practitioner. In these circumstances, a threat to the objectivity of the individual responsible for the appointment of the engagement quality reviewer may arise.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Considerations specific to public sector audit organizations A51. In the public sector, a statutorily appointed auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General) may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, where applicable, the selection of the engagement quality control reviewer includes consideration of the need for independence from the audited entity and the ability of the engagement quality control reviewer to provide an objective evaluation.	<u>ISQM 2</u> Public Sector Considerations A13. In the public sector, an auditor (for example, an Auditor General, or other suitably qualified individual appointed on behalf of the Auditor General) may act in a role equivalent to that of the engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation. A3. In exceptional circumstances, it may not be practicable for an individual other than a member of the engagement team to appoint the engagement quality reviewer, for example, in the case of a smaller firm or a sole practitioner. In these circumstances, a threat to the objectivity of the individual responsible for the appointment of the engagement quality reviewer may arise.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
<i>Differences of Opinion</i> (Ref: Para. 43) A52. Effective procedures encourage identification of differences of opinion at an early stage, provide clear guidelines as to the successive steps to be taken thereafter, and require documentation regarding the resolution of the differences and the implementation of the conclusions reached. A53. Procedures to resolve such differences may include consulting with another practitioner or firm, or a professional or regulatory body.	<u>ISQM 2</u> Whether Consultation Has Taken Place on Difficult or Contentious Matters or Matters Involving Differences of Opinion (Ref: Para. 20(e)) A32. Proposed ISQM 1⁵ sets out requirements for the firm to establish policies or procedures addressing consultation on difficult or contentious matters, including the engagement team's responsibilities for consultation, the matters on which consultation is required and how the conclusions should be agreed and implemented. Proposed ISQM 1⁶ also sets out requirements for the firm to establish policies or procedures to address differences of opinion that arise within the engagement team, or between the engagement team and the engagement quality reviewer or personnel performing duties within the firm's system of quality management, including those who provide consultation.

⁵ Proposed ISQM 1, paragraph 40(c) [Footnote 10 in Agenda Item 4-A]

⁶ Proposed ISQM 1, paragraph 40(d) [Footnote 11 in Agenda Item 4-A]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	<i>Eligibility of the Engagement Quality Reviewer</i> (Ref: Para. 15(b)) A4. In some circumstances, there may not be an individual within the firm who is eligible to perform the engagement quality review and the firm may therefore contract with, or obtain the services of, external individuals to perform the engagement quality review. A suitably qualified external individual may be a partner or an employee of: • A firm within the firm's network, which is subject to the requirements for network requirements or network services in paragraphs 59–64 of proposed ISQM 1; or • A service provider, which is subject to the requirements for service providers in paragraphs 65–66 of proposed ISQM 1. When an external individual is to be appointed to perform the engagement quality review, making relevant inquiries about the individual before making the appointment may assist the firm in obtaining the necessary information about whether the individual meets the eligibility requirements to be an engagement quality reviewer.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	<i>Limitations on the Eligibility of Individuals to be Appointed as Engagement Quality Reviewers (Ref: Para. 15(c))</i> A5. Relevant ethical requirements or law or regulation may establish requirements for a cooling-off period during which individuals are prohibited from serving as the engagement quality reviewer for engagements for which they previously served in another role(s). For example, the IESBA Code contains prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years, with a minimum cooling-off period of two years: • The engagement partner; • The individual appointed as the engagement quality reviewer; or • Any key audit partner role.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	A6. An individual who has served as the engagement partner is not likely to be able to perform the role of the engagement quality reviewer immediately after ceasing to be the engagement partner because it is not likely that the threats to the individual's objectivity with regard to the engagement and the engagement team can be reduced to an acceptable level. In recurring engagements, the matters on which significant judgments are made and the facts and circumstances around those significant judgments are not likely to vary to a degree such that an objective evaluation of those judgments can be made by the individual who served as the engagement partner in the immediate previous period. Accordingly, this ISQM requires the firm to establish policies or procedures that limit the eligibility of individuals as engagement quality reviewers who previously served as engagement partner, for example, by establishing a specified cooling-off period during which the engagement partner is precluded from being appointed as the engagement quality reviewer. Determining a suitable cooling-off period depends upon the facts and circumstances of the engagement. In the case of an audit of financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	<i>Eligibility Criteria for the Engagement Quality Reviewer</i> Competence and Capabilities, Including Sufficient Time (Ref: Para. 16(b)) A7. Competence refers to the integration and application of technical competence, professional skills, and professional ethics, values and attitudes, and the appropriate experience relevant to the nature and circumstances of the engagement, including: • An understanding of professional standards and applicable legal and regulatory requirements and of the firm's policies or procedures relevant to the engagement; • Knowledge of the entity's industry; • An understanding of, and experience relevant to, engagements of a similar nature and complexity; and • An understanding of the responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review, which may be attained or enhanced by receiving relevant training from the firm. A8. Factors to consider in determining whether the engagement quality reviewer has the competence and capabilities, including sufficient time, needed to evaluate the significant judgments made by the engagement team and the conclusions reached thereon include, for example: • The nature of the entity (e.g., a listed entity). • The specialization and complexity of the industry or regulatory environment in which the entity operates. • The extent to which the engagement relates to matters requiring specialized expertise (e.g. with respect to information technology or specialized areas of accounting or auditing), or scientific and engineering expertise, such as may be needed for certain assurance engagements.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	A9. In evaluating the competence and capabilities of the individual(s) who may be appointed as an engagement quality reviewer, the findings arising from the firm's monitoring activities (e.g., findings from the inspection of in-process or completed engagements for which the individual was an engagement team member or engagement quality reviewer) or the results of external inspections may also be relevant considerations. A10. Insufficient competence or capabilities may affect the ability of the engagement quality reviewer to exercise appropriate professional judgment in performing the review. For example, an engagement quality reviewer who lacks relevant industry experience may not possess the ability or confidence necessary to evaluate significant judgments made by the engagement team on a complex industry-specific accounting or auditing matter. Appropriate Authority (Ref: Para. 16(b)) A11. Actions at the firm level help to establish the authority of the engagement quality reviewer, for example, by creating a culture of respect for the engagement quality reviewer that enables the engagement quality reviewer to withstand pressure from the engagement partner or other personnel to inappropriately influence the outcome of the engagement quality review. In some cases, the engagement quality reviewer's authority may be enhanced by the firm's policies or procedures to address differences of opinion, which may include actions the engagement quality reviewer may take when a disagreement occurs between the engagement quality reviewer and the engagement team.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	A12. The authority of the engagement quality reviewer may be diminished when: • The culture within the firm promotes respect for authority only when it comes from an individual that is at a higher level of hierarchy within the firm. • The engagement quality reviewer has a reporting line to the engagement partner, for example, when the engagement partner holds a leadership position in the firm or is responsible for determining the compensation of the engagement quality reviewer.
	A31. For engagements other than audits of financial statements, the engagement quality reviewer may consider the nature and circumstances of the engagement in identifying significant matters, and significant judgments made by the engagement team. For example, in an assurance engagement performed in accordance with ISAE 3000 (Revised), the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement may involve or require significant judgment. The examples in proposed ISA 220 (Revised)⁷ also may be useful to the practitioner in identifying significant judgments in engagements other than audits of financial statements.

⁷ Proposed ISA 220 (Revised), paragraph A80 [Footnote 9 in Agenda Item 4-A]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
ISA 220	
Requirements	Requirements
Engagement Performance <i>Engagement Quality Control Review</i> 19. For audits of financial statements of listed entities, and those other audit engagements, if any, for which the firm has determined that an engagement quality control review is required, the engagement partner shall: (a) Determine that an engagement quality control reviewer has been appointed; (b) Discuss significant matters arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer; and (c) Not date the auditor's report until the completion of the engagement quality control review. (Ref: Para. A23–A25) 20. The engagement quality control reviewer shall perform an objective evaluation of the significant judgments made by the engagement team, and the conclusions reached in formulating the auditor's report. This evaluation shall involve: (a) Discussion of significant matters with the engagement partner; (b) Review of the financial statements and the proposed auditor's report; (c) Review of selected audit documentation relating to the significant judgments the engagement team made and the conclusions it reached; and (d) Evaluation of the conclusions reached in formulating the auditor's report and consideration of whether the proposed	<u>ISQM 2</u> Performance of the Engagement Quality Review 19. The firm shall establish policies or procedures regarding the performance of the engagement quality review that address: ... (b) The responsibilities of the engagement partner in relation to the engagement quality review, including prohibiting the engagement partner from dating the engagement report until the completion of the review; and (Ref: Para. A23) 20. In performing the engagement quality review, the engagement quality reviewer shall: (Ref: A25–A34) (a) Read and understand information: (i) Obtained from the engagement team about the nature and circumstances of the engagement; and (ii) Provided by the firm about its monitoring and remediation, in particular identified deficiencies that may relate to, or affect, the areas involving significant judgments by the engagement team. (b) Discuss significant matters with the engagement partner and, if applicable, other members of the engagement team. (Ref: Para. A29) (c) Based on the information obtained in (a) and (b), identify the areas involving significant judgments made, by the engagement team, including those related to: (Ref: Para. A30–A31) (i) The overall strategy and plan for performing the engagement; (ii) The performance of the engagement; and

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
auditor's report is appropriate. (Ref: Para. A26–A28, A30–A32) 21. For audits of financial statements of listed entities, the engagement quality control reviewer, on performing an engagement quality control review, shall also consider the following: (a) The engagement team's evaluation of the firm's independence in relation to the audit engagement; (b) Whether appropriate consultation has taken place on matters involving differences of opinion or other difficult or contentious matters, and the conclusions arising from those consultations; and (c) Whether audit documentation selected for review reflects the work performed in relation to the significant judgments and supports the conclusions reached. (Ref: Para. A29–A32) <i>Differences of Opinion</i> 22. If differences of opinion arise within the engagement team, with those consulted or, where applicable, between the engagement partner and the engagement quality control reviewer, the engagement team shall follow the firm's policies and procedures for dealing with and resolving differences of opinion.	(iii) Concluding, when applicable, and reporting on the engagement. (d) Review selected engagement documentation that supports the significant judgments made by the engagement team and the conclusions reached thereon and evaluate: (i) The engagement team's basis for making the significant judgments, including when applicable, the appropriate exercise of professional skepticism; (ii) Whether the engagement documentation supports the conclusions reached; and (iii) Whether the conclusions reached were appropriate. (e) Evaluate whether consultation has taken place on difficult or contentious matters or matters involving differences of opinion and the conclusions arising from those consultations. (Ref: Para. A32) (f) For audits of financial statements, evaluate the basis for the engagement partner's conclusion that the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement. (Ref: Para. A33–A34) (g) Review: (i) For audits of financial statements, the financial statements and the auditor's report thereon, including, if applicable, the description of the key audit matters; or (ii) For other engagements, the engagement report, and when applicable, the subject matter information.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	21. The engagement quality reviewer shall evaluate whether, on or before the date of the engagement report: (a) The requirements of this ISQM have been fulfilled and the objective of the engagement quality review has been achieved; and (b) There are any concerns that the significant judgments made by the engagement team, or the conclusions it reached thereon, were not appropriate. If so, the engagement quality reviewer shall notify the engagement partner and appropriate individual(s) in the firm that the engagement quality review cannot be completed until such concerns are addressed to the engagement quality reviewer's satisfaction.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Documentation 25. The engagement quality control reviewer shall document, for the audit engagement reviewed, that: (a) The procedures required by the firm's policies on engagement quality control review have been performed; (b) The engagement quality control review has been completed on or before the date of the auditor's report; and (c) The reviewer is not aware of any unresolved matters that would cause the reviewer to believe that the significant judgments the engagement team made and the conclusions it reached were not appropriate.	Documentation 22. The firm shall establish policies and procedures that require the engagement quality reviewer to prepare documentation that is sufficient to enable an experienced practitioner, having no previous connection with the engagement, to understand the nature, timing and extent of the procedures performed by the engagement quality reviewer and, when applicable, individuals who assisted the reviewer. (Ref: Para. A35–A37) 23. The firm's policies or procedures shall require the documentation of the engagement quality review to be included with the engagement documentation. 24. The engagement quality reviewer shall include in the documentation of the engagement quality review: (a) The name of the engagement quality reviewer and individuals who assisted with the engagement quality review; (b) An identification of the engagement documentation reviewed; (c) The engagement quality reviewer's evaluation in accordance with paragraph 21; (d) The date of completion of the engagement quality review; and (e) Other documentation required by the firm's policies and procedures.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Application and Other Explanatory Material	Application and Other Explanatory Material
	Performance of the Engagement Quality Review <u>ISQM 2</u> Overall Responsibility of the Engagement Partner for Managing and Achieving Quality on the Audit Engagement (Ref: Para. 20(f)) A33. Proposed ISA 220 (Revised) requires the engagement partner to determine, prior to dating the auditor's report, that: • The engagement partner's involvement has been sufficient and appropriate throughout the audit engagement such that the engagement partner has the basis for determining that the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement; and • The firm's policies or procedures, and the nature and circumstances of the audit engagement, and any changes thereto, have been taken into account in complying with the requirements of proposed ISA 220 (Revised).⁸ A34. Other pronouncements of the IAASB, including ISRE 2400 (Revised),⁹ ISAE 3000 (Revised),¹⁰ and ISRS 4410 (Revised)¹¹ also require the engagement partner to take responsibility for the overall quality on the engagement. Furthermore, ISAE 3000 (Revised)¹² establishes requirements for the engagement partner in relation to the engagement quality control review.

⁸ Proposed ISA 220 (Revised), paragraph 37 **[Footnote 12 in Agenda Item 4-A]**

⁹ International Standard on Review Engagements (ISRE) 2400 (Revised), *Engagements to Review Historical Financial Statements*, paragraph 25 **[Footnote 13 in Agenda Item 4-A]**

¹⁰ ISAE 3000 (Revised), paragraph 33 **[Footnote 14 in Agenda Item 4-A]**

¹¹ International Standard on Related Services (ISRS) 4410 (Revised), *Compilation Engagements*, paragraph 23 **[Footnote 15 in Agenda Item 4-A]**

¹² ISAE 3000 (Revised), paragraph 36 **[Footnote 16 in Agenda Item 4-A]**

Engagement Performance <i>Engagement Quality Control Review</i> Completion of the Engagement Quality Control Review before Dating of the Auditor's Report (Ref: Para. 19(c)) A23. ISA 700 (Revised) requires the auditor's report to be dated no earlier than the date on which the auditor has obtained sufficient appropriate evidence on which to base the auditor's opinion on the financial statements.¹³ In cases of an audit of financial statements of listed entities or when an engagement meets the criteria for an engagement quality control review, such a review assists the auditor in determining whether sufficient appropriate evidence has been obtained. A24. Conducting the engagement quality control review in a timely manner at appropriate stages during the engagement allows significant matters to be promptly resolved to the engagement quality control reviewer's satisfaction on or before the date of the auditor's report. A25. Completion of the engagement quality control review means the completion by the engagement quality control reviewer of the requirements in paragraphs 20–21, and where applicable, compliance with paragraph 22. Documentation of the engagement quality control review may be completed after the date of the auditor's report as part of the assembly of the final audit file. ISA 230 establishes requirements and provides guidance in this regard.¹⁴ Nature, Timing and Extent of Engagement Quality Control Review (Ref: Para. 20) A26. Remaining alert for changes in circumstances allows the engagement partner to identify situations in which an engagement quality control review is necessary, even though at the start of the engagement, such a review was not required.	<u>ISQM 2</u> <i>Engagement Quality Reviewer's Responsibilities to Perform Procedures</i> (Ref: Para. 19(a)) A22. Paragraphs A25–A34 provide guidance regarding the procedures to be performed by the engagement quality reviewer, and the reviewer's overall evaluation based on the procedures performed, in accordance with paragraphs 20 and 21, respectively, of this ISQM. <i>Engagement Partner Responsibilities in Relation to the Engagement Quality Review</i> (Ref: Para. 19(b)) A23. Proposed ISA 220 (Revised)¹⁵ establishes the requirements for the engagement partner¹⁶ in audit engagements for which an engagement quality review is required, including: • Determining that an engagement quality reviewer has been appointed; • Cooperating with the engagement quality reviewer and informing members of the engagement team of their responsibility to do so; • Discussing significant matters arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer; and • Not dating the auditor's report until the completion of the engagement quality review. <i>Discussions Between the Engagement Quality Reviewer and the Engagement Team</i> (Ref: Para. 19(c)) A24. Frequent communication between the engagement team and engagement quality reviewer throughout the engagement may assist in facilitating an effective and timely engagement quality review. However, circumstances may arise when the discussions between the engagement team and the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the
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Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	engagement quality reviewer. The firm's policies or procedures may set forth the actions to be taken by the engagement quality reviewer or the engagement team to avoid situations in which the engagement quality reviewer is, or may be perceived to be, making decisions on behalf of the engagement team. For example, in these circumstances the firm may require consultation with other relevant personnel in accordance with the firm's consultation policies or procedures. See also paragraph A31 <u>ISQM 2</u> <i>Procedures Performed by the Engagement Quality Reviewer</i> (Ref: Para. 20–21) A25. The firm's policies or procedures may specify the nature, timing and extent of the procedures performed by the engagement quality reviewer and also may emphasize the importance of the engagement quality reviewer exercising professional judgment in performing the review.

¹³ ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*, paragraph 49 **[Footnote 10 in extant ISA 220]**

¹⁴ ISA 230, paragraphs 14-16 **[Footnote 11 in extant ISA 220]**

¹⁵ Proposed ISA 220 (Revised), *Quality Control for an Audit of Financial Statements*, paragraph 33 **[Footnote 3 in Agenda Item 4-A]**

¹⁶ Similar requirements exist in paragraph 36 of International Standard on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* **[Footnote 4 in Agenda Item 4-A]**

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
A27. The extent of the engagement quality control review may depend, among other things, on the complexity of the audit engagement, whether the entity is a listed entity, and the risk that the auditor's report might not be appropriate in the circumstances. The performance of an engagement quality control review does not reduce the responsibilities of the engagement partner for the audit engagement and its performance. A28. When ISA 701¹⁷ applies, the conclusions reached by the engagement team in formulating the auditor's report include determining: • The key audit matters to be included in the auditor's report; • The key audit matters that will not be communicated in the auditor's report in accordance with paragraph 14 of ISA 701, if any; and • If applicable, depending on the facts and circumstances of the entity and the audit, that there are no key audit matters to communicate in the auditor's report. In addition, the review of the proposed auditor's report in accordance with paragraph 20(b) includes consideration of the proposed wording to be included in the Key Audit Matters section.	A26. The timing of the procedures performed by the engagement quality reviewer may depend on the nature and circumstances of the engagement, including the nature of the matters subject to the review. Timely review of the engagement documentation by the engagement quality reviewer at appropriate points in time throughout all stages of the engagement (e.g., planning, risk assessment, performance, completion, reporting) allows matters to be promptly resolved to the engagement quality reviewer's satisfaction, on or before the date of the engagement report. For example, the engagement quality reviewer may perform procedures in relation to the overall strategy and plan for performing the engagement at the completion of the planning phase. In other circumstances, it may be appropriate for the engagement quality reviewer to perform the procedures at the end of the engagement (e.g., when the engagement is not complex and is completed within a short period of time). Timely performance of the engagement quality review also may support the engagement team in exercising professional judgment and, as applicable, professional skepticism, in planning and performing the engagement such that conclusions reached on significant judgments made by the engagement team are appropriate.

¹⁷ ISA 701, *Communicating Key Audit Matters in the Auditor's Report* [Footnote12 in extant ISA 220]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	A27. The nature and extent of the engagement quality reviewer's procedures for a specific engagement may depend on, among other factors: • The reasons for the assessments given to quality risks, for example, engagements performed for entities in emerging industries or with complex transactions. • The findings arising from the firm's monitoring activities, which may indicate areas where more extensive procedures need to be performed by the engagement quality reviewer. • The complexity of the engagement. • The nature and size of the entity, including whether the entity is a listed entity. • Other information relevant to the engagement, such as the results of inspections undertaken by an external oversight authority in a prior period, or concerns raised about the commitment to quality of the firm or its personnel. • The firm's acceptance and continuance of client relationships and specific engagements, which may indicate new risks to achieving quality for an engagement.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	- Whether members of the engagement team have cooperated with the engagement quality reviewer as required by proposed ISA 220 (Revised).¹⁸ The firm's policies or procedures may address the actions the engagement quality reviewer takes in circumstances when the engagement team has not cooperated with the engagement quality reviewer, for example, more extensive review or informing an appropriate individual in the firm so appropriate action can be taken to resolve the issue. - For assurance engagements, the engagement team's consideration of, and responses to, areas of risks of material misstatement in the engagement. A28. The nature, timing and extent of the engagement quality reviewer's procedures may need to change based on circumstances encountered in performing the engagement quality review.

¹⁸ Proposed ISA 220 (Revised), paragraph 33(b) [Footnote 5 in Agenda Item 4-A]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Engagement Quality Control Review of Listed Entities (Ref: Para. 21) A29. Other matters relevant to evaluating the significant judgments made by the engagement team that may be considered in an engagement quality control review of a listed entity include: • Significant risks identified during the engagement in accordance with ISA 315 (Revised),¹⁹ and the responses to those risks in accordance with ISA 330,²⁰ including the engagement team's assessment of, and response to, the risk of fraud in accordance with ISA 240.²¹ • Judgments made, particularly with respect to materiality and significant risks. • The significance and disposition of corrected and uncorrected misstatements identified during the audit. • The matters to be communicated to management and those charged with governance and, where applicable, other parties such as regulatory bodies. These other matters, depending on the circumstances, may also be applicable for engagement quality control reviews for audits of financial statements of other entities.	Significant Matters and Significant Judgments (Ref: Para. 20(b)–(d)) A29. For audits of financial statements, proposed ISA 220 (Revised) requires the engagement partner to review audit documentation relating to significant matters²² and other areas involving significant judgments, especially those relating to difficult or contentious matters identified during the course of the engagement, and the conclusions reached.²³ A30. For audits of financial statements, proposed ISA 220 (Revised) provides examples of significant judgments that may be identified by the engagement partner related to the overall audit strategy and audit plan for undertaking the engagement, the execution of the engagement and the overall conclusions reached by the engagement team.²⁴

¹⁹ ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment* [Footnote13 in extant ISA 220]

²⁰ ISA 330, *The Auditor's Responses to Assessed Risks* [Footnote14 in extant ISA 220]

²¹ ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* [Footnote15 in extant ISA 220]

²² ISA 230, *Audit Documentation*, paragraph A8 [Footnote 6 in Agenda Item 4-A]

²³ Proposed ISA 220 (Revised), paragraph 29 [Footnote 7 in Agenda Item 4-A]

²⁴ Proposed ISA 220 (Revised), paragraph A80 [Footnote 8 in Agenda Item 4-A]

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
Considerations Specific to Smaller Entities (Ref: Para. 20–21) A30. In addition to the audits of financial statements of listed entities, an engagement quality control review is required for audit engagements that meet the criteria established by the firm that subjects engagements to an engagement quality control review. In some cases, none of the firm’s audit engagements may meet the criteria that would subject them to such a review. Considerations Specific to Public Sector Entities (Ref: Para. 20–21) A31. In the public sector, a statutorily appointed auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General), may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, where applicable, the selection of the engagement quality control reviewer includes consideration of the need for independence from the audited entity and the ability of the engagement quality control reviewer to provide an objective evaluation. A32. Listed entities as referred to in paragraphs 21 and A29 are not common in the public sector. However, there may be other public sector entities that are significant due to size, complexity or public interest aspects, and which consequently have a wide range of stakeholders. Examples include state owned corporations and public utilities. Ongoing transformations within the public sector may also give rise to new types of significant entities. There are no fixed objective criteria on which the determination of significance is based. Nonetheless, public sector auditors evaluate which entities may be of sufficient significance to warrant performance of an engagement quality control review.	See paragraph A106 of proposed ISQM 1 Public Sector Considerations A13. In the public sector, an auditor (for example, an Auditor General, or other suitably qualified individual appointed on behalf of the Auditor General) may act in a role equivalent to that of the engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation.

Extant ISQC 1/ISA 220	Proposed ISQM 2/ISQM 1
	Documentation (Ref: Para. 22–24) A35. The form, content and extent of the documentation of the engagement quality review may depend on factors such as: • The nature and complexity of the engagement; • The nature of the entity; • The nature and complexity of the matters subject to the engagement quality review; and • The extent of the engagement documentation reviewed. A36. The engagement quality review may be documented in a number of ways. For example, the engagement quality reviewer may document the review of engagement documentation electronically in the IT application for the performance of the engagement. Alternatively, the engagement quality reviewer may document the review through means of a memorandum. The engagement quality reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality reviewer was present. A37. Although the engagement partner does not date the auditor's report until the completion of the engagement quality review,²⁵ which includes resolving matters raised by the engagement quality reviewer before the report is issued, the documentation of the engagement quality review may be completed after the date of the report.²⁶

²⁵ Proposed ISA 220, (Revised), paragraph 33(d) [Footnote 17 in Agenda Item 4-A]

²⁶ ISA 230, *Audit Documentation*, paragraph 14 [Footnote 18 in Agenda Item 4-A]